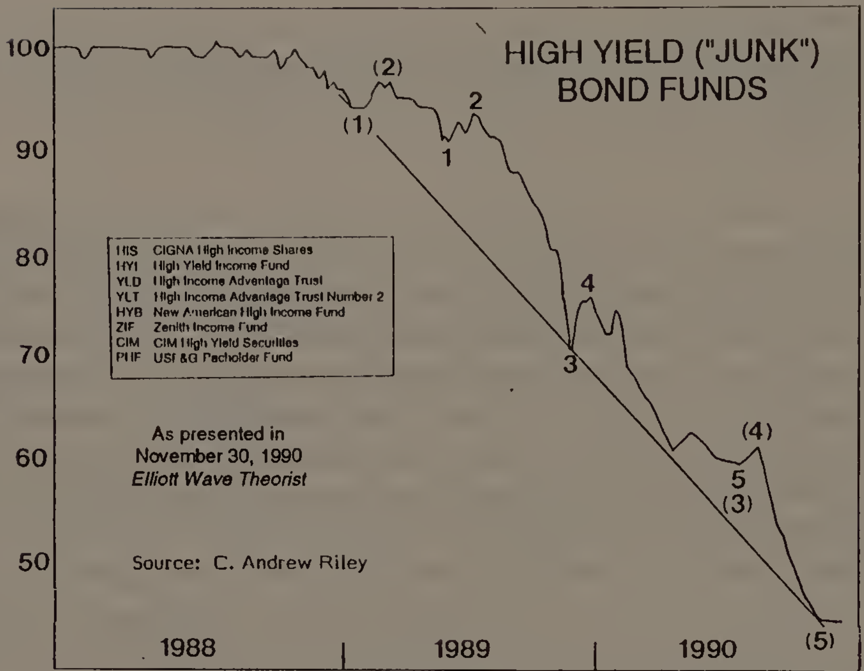

Figure 15-1

its lowest price on December 26, 1990, just one month after the five waves down was labeled on a decline that had lasted 2½ years. From that low, junk bond prices soared, outperforming every other investment over the next two years.

The Wave ② Rally

The rebound in junk bonds from the 1990 low was accompanied by classic "wave two" psychology. It is always during wave *two* upward of a new bear trend that investors have the greatest conviction that the market is bullish. As the small investor discerned his last chance to load up on a good thing, the public broke all records in what will almost certainly prove to be a rally in a major bear market. In December 1991, one year after the headlines advised investors to "Jump Ship," another headline announced, "Investors Succumb To Lure of Junk." Money inflows to junk bond funds, from a nine-year low in 1990, took off again as the public embraced what they discerned as the start of a new bull market. Said *The Elliott Wave Theorist*, "Consumers have regained, unbelievably, their confidence in issuers of junk bonds." In 1992 and 1993, the public's feeding frenzy set new all-time records of money inflow to junk bond funds. This paragraph from the June 14, 1993 issue of *The Wall Street Journal* well related the situation: